PERSONAL FINANCE FOR STUDENTS

Budgeting and Savings Habits Among Students

Where student money quietly disappears, a simple way to plan it, and the small habits that make saving stick — with numbers you can try this month.

WHERE MONEY GOES | THE 50-30-20 RULE | SAVINGS LADDER | 30-DAY PLAN

PRESENTED BY

Lingesh K

REGISTER NO.

OSI2509030

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AGENDA

What we will cover

Half of this is understanding the problem. Half is a plan you can start on Monday.

01 **The student money reality**
Why managing money feels harder than it looks

02 **Budgeting vs saving**
Two different habits, often confused

03 **Where the money goes**
The four traps that catch almost everyone

04 **The leak test**
What a small daily spend really costs in a year

05 **The 50-30-20 rule**
One simple split anyone can remember

06 **Build your budget**
Five steps, ten minutes, no app needed

07 **The savings ladder**
Five levels from first ₹100 to real goals

08 **A 30-day starter plan**
What to actually do over the next four weeks

SECTION 01

The Student Money Reality

Why this is genuinely harder than people admit.

Six reasons student money runs out early

None of these are about being careless. They are about how student money actually works.

Income is irregular

Allowance, part-time work or freelance pay arrive at different times and different amounts.

First time in charge

Nobody taught most of us how to plan money. We learn by running out.

Paying is frictionless

UPI takes two seconds. There is no pause to think, and no cash left in hand to warn you.

Group spending

Plans are made together, so the cost is decided by the group, not by your budget.

No safety net

One unexpected expense — a phone repair, a trip home — can undo a whole month.

Small feels harmless

₹40 here and ₹80 there never feels like a decision. Together they are the biggest expense.

Budgeting and saving are not the same thing

You need both. A budget makes room; saving fills it.

BUDGETING

A plan for money before you spend it

- Decides where each rupee should go
- Happens at the start of the month
- Answers: can I afford this?
- Takes about ten minutes to set up
- Without it, saving rarely happens

SAVING

Money you deliberately keep aside

- Sets money apart before it can be spent
- Happens on the day money arrives
- Answers: what is this money for?
- Works best when it is automatic
- Grows a buffer and funds real goals

IN SHORT Budgeting is the plan. Saving is the result of following it.

SECTION 02

Where The Money Goes

Find the leaks before trying to plug them.

02

Where student budgets usually leak

Notice that none of these are big single purchases. They are repeated small ones.

Food and delivery

- Ordering in because cooking feels like effort
- Delivery fees and small order charges add up
- Often the single biggest avoidable cost

Subscriptions

- Free trials that quietly start charging
- Several streaming or music plans at once
- Money leaves without a decision each month

Sales and impulse buys

- Discounts create urgency that feels real
- Saved cards make checkout too easy
- You buy the offer, not the item

Outings and peer pressure

- Saying no feels socially expensive
- One outing can equal a week's budget
- Nobody discusses what they can afford

What one small daily habit really costs

Figures are illustrative, but the arithmetic is the point: small and daily beats large and rare.

₹1,500

One snack a day, for a month

₹50 a day feels like nothing. Over a month it is often more than a phone recharge and a subscription combined.

₹18,000

The same habit, over a year

That is a laptop upgrade, a certification course, or a serious start to an emergency buffer.

₹0

What it costs to fix it

Nothing. Cutting it from daily to twice a week keeps most of the money and none of the misery.

Run this on your own habit. Daily amount × 30, then × 12. The number is usually uncomfortable.

THE HONEST REASONS

Why overspending happens to sensible people

Understanding the cause matters, because willpower alone is a weak plan.

Overspending is rarely a discipline problem. It is usually a visibility problem.

- **Small amounts skip the decision**
  We judge ₹60 as 'nothing' instead of comparing it to the month.
- **Digital payment removes the pause**
  Handing over cash makes you feel the spend. A tap does not.
- **Offers manufacture urgency**
  A deadline makes a want feel like a need.
- **Spending is social**
  It is easier to overspend with friends than alone.
- **Boredom costs money**
  Scrolling and shopping fill the same empty twenty minutes.
- **No record, no reality**
  If nothing is written down, the month has no scoreboard.

SECTION 03

How To Budget Simply

One rule, five steps, ten minutes a month.

03

7

THE RULE

The 50-30-20 split

On ₹10,000 a month that is ₹5,000 for needs, ₹3,000 for wants and ₹2,000 saved.

50% — Needs

Things you cannot skip.

Hostel or rent, mess food, travel, data, books and course material.

30% — Wants

Things that make life enjoyable.

Eating out, subscriptions, outings, clothes, games.

20% — Savings

Money set aside first.

Emergency buffer, goals, and anything you are building towards.

Build your budget in five steps

No app required. A page in a notebook is enough to start.

1

Know your income

Add every rupee that comes in each month, from every source.

2

List fixed needs

Rent, mess, travel, data. These are decided before anything else.

3

Save first, not last

Move your savings amount out on day one, before you can spend it.

4

Give wants a limit

A number, not a feeling. When it is gone, it is gone.

5

Review weekly

Five minutes every Sunday. Adjust early instead of discovering late.

Step three is the one that changes outcomes. Saving what is left over almost always means saving nothing.

A WORKED EXAMPLE

One month on ₹10,000

CATEGORY	TYPE	PLANNED	HOW IT IS DECIDED
Mess and food	Need	₹3,500	Fixed before the month starts
Travel	Need	₹800	Bus pass or regular commute
Phone and data	Need	₹400	Recurring, easy to forget
Books and stationery	Need	₹300	Varies by semester
Eating out and outings	Want	₹1,800	Hard limit for the month
Subscriptions	Want	₹400	Reviewed every few months
Shopping and other	Want	₹800	Whatever is left of wants
Savings	Save	₹2,000	Moved out on day one

Illustrative figures. Copy the structure, not the numbers — yours will look different.

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Six ways to keep score — pick one you will actually use

The best system is the boring one you still use in week three.

A notebook

One line per spend. Slow, but you feel every entry, which is the point.

Phone notes

Always with you. Add the amount the moment you pay.

Bank and UPI history

Already recorded for you. Skim it once a week and total the categories.

A simple spreadsheet

Four columns: date, item, amount, need or want. Nothing more.

A budgeting app

Automatic and tidy, but only helps if you open it.

The envelope method

Cash split into labelled envelopes. Brutal, visible and very effective.

SECTION 04

Building The Savings Habit

04

Small, automatic and consistent beats large and occasional.

Pay yourself first

Treat savings as a bill you owe yourself, due the day money arrives.

- Decide the amount before the month starts
- Move it out on day one, not day thirty
- Keep it somewhere slightly inconvenient to reach
- Live on what remains, which is easier than it sounds
- Raise the amount slightly whenever income rises

The wrong order

Spend the month, then save whatever survives. Usually nothing does.

The right order

Save first, then spend the rest. The same income suddenly produces savings.

Why it works

You are not relying on willpower at the end of a tiring month.

12

THE LADDER

Five levels of a savings habit

Most people never get past level one. The gains are at levels three and four.

L5	**Learn before you grow**	Understand any option properly before you put money into it. Never invest on a tip.
L4	**Make it automatic**	A standing instruction on allowance day removes the decision entirely.
L3	**Name your goals**	Laptop, course fee, trip home. Named money is far harder to spend by accident.
L2	**Build a buffer**	Set aside one month of essential expenses. This is what stops small emergencies becoming debt.
L1	**Just start**	Any fixed amount, any frequency. ₹100 a week counts. The habit matters more than the sum.

Common places students park savings

OPTION	HOW FAST YOU CAN REACH IT	MAIN DRAWBACK	SUITS
Cash at home	Instantly	Too easy to spend, easy to lose	Very small amounts only
Savings bank account	Same day	Visible, so tempting to dip into	Your everyday buffer
Separate savings account	Same day	One more account to manage	Keeping goals away from spending money
Recurring deposit	On maturity	Penalty if you break it early	Building a fixed monthly habit
Fixed deposit	On maturity	Locked for the chosen term	Money you know you will not need soon

For classroom learning only, not financial advice. Read the terms and understand any product before putting money into it.

Six habits that survive a busy semester

Pick two to start. Six new habits at once is how people quit.

Save on day one

Before the month has a chance to spend it for you.

Use the 24-hour rule

For any non-essential buy, wait a day. Most urges do not survive it.

Cap your weak spot

Set one number for the trap you already know is yours.

Keep one no-spend day

One day a week where nothing leaves your account. It resets the habit.

Review for five minutes

Same time every week. Short and regular beats long and never.

Keep the goal visible

A note on your phone screen. Saving is easier when it is for something.

AVOID THESE

Four mistakes that quietly undo the plan

Every one of these is a process problem with a simple fix.

Budgeting only in your head

- Untracked money always feels like more
- You forget the small spends first
- Fix: write it down, anywhere

Saving what is left over

- At month end there is rarely anything left
- Savings becomes an accident, not a plan
- Fix: move it out on day one

Copying someone else's budget

- Their rent, family support and course costs are not yours
- It fails, and you blame yourself
- Fix: start from your own numbers

Quitting after a bad month

- One overspent month is data, not failure
- Most people stop here permanently
- Fix: reset next month and continue

WORTH REMEMBERING

It is not about how much you earn. It is about how much you keep.

A student who saves ₹500 a month has a habit that will still be working on a salary twenty times larger.

16

START NOW

Your first 30 days

Four weeks is enough to see your own pattern and prove the habit works.

1 2 3 4

Week 1 — Watch

Change nothing. Just write down every rupee you spend.

Week 2 — Find one leak

Total your categories. Pick the single biggest avoidable one.

Week 3 — Save first

Decide your amount and move it out the day money arrives.

Week 4 — Review and repeat

Compare plan against reality, adjust once, and run it again.

Week one is the most important and the easiest to skip. You cannot fix what you have not measured.

17

RECAP

Key takeaways

The whole session in six lines.

1 **Overspending is a visibility problem, not a willpower problem**

Write it down and most of the leak fixes itself.

2 **Budgeting plans money; saving keeps it**

You need both, and the budget has to come first.

3 **Small repeated spends cost the most**

₹50 a day is ₹18,000 a year. Do the arithmetic on your own habit.

4 **50-30-20 is enough structure to start**

Needs, wants, savings. Adjust the percentages to your reality.

5 **Pay yourself first, on day one**

Saving what is left over almost always means saving nothing.

6 **Start with two habits, not six**

A boring system you still use in week three beats a perfect one you abandon.

CONCLUSION

Thank you

Budgeting is not about spending less on everything. It is about deciding, in advance, what your money is for.

QUESTION 1

What is your single biggest avoidable spend this month?

QUESTION 2

What amount could you move out on day one, starting now?

QUESTION 3

Which one goal would make saving feel worth it?

PRESENTED BY Lingesh K REGISTER NO. OSI2509030